

SME Insurance

OWNER	STAGE	SCORE	DATE
Astra Tech · Strategy	Evaluation · Proceed	65 / 100	11 Jun 2026

Executive summary

We recommend proceeding with the SME Insurance product bet. This product targets the USD 150 million Serviceable Obtainable Market (SOM) by embedding insurance into our existing SME banking and lending platform. Our analysis indicates a strong market opportunity, a clear competitive advantage through our embedded model, and a projected LTV/CAC ratio of 5x. This positions us to capture a significant share of the SME insurance market.

The SME Insurance bet leverages our existing digital infrastructure and customer base to offer seamless, commission-based insurance solutions. We project an activation rate of 38% and a conversion rate of 12%. The competitive landscape includes established players like CoverB and Bayzat, but our embedded approach offers a unique advantage by reducing customer acquisition costs and increasing relevance at the point of transaction. We have identified and planned mitigations for key risks, including licensing and claims flow dependency.

Our financial outlook, supported by a 5x LTV/CAC ratio, demonstrates strong unit economics. The market size is substantial, with a Total Addressable Market (TAM) of USD 4.2 billion and a Serviceable Addressable Market (SAM) of USD 1.2 billion. We are well-positioned to execute this strategy.

Opportunity

SME owners in the UAE require accessible and integrated insurance solutions to protect their businesses. Currently, many rely on fragmented or time-consuming methods to procure coverage, often missing opportune moments to purchase relevant products.

Astra Tech is uniquely positioned to address this gap. By embedding insurance directly into our existing banking and lending platform, we can offer a contextual and frictionless experience. Our established SME customer base provides a ready audience, reducing customer acquisition costs significantly compared to standalone insurtechs. The market is substantial, with a SOM of USD 150 million, and our embedded model provides a distinct edge over competitors like CoverB and Bayzat, who lack our direct integration into core financial transactions.

The timing is opportune as SMEs increasingly seek digital-first solutions for their business needs. Our platform offers this convenience, coupled with the trust and familiarity of their existing banking relationship. We can proactively offer insurance at critical junctures, such as during loan application or POS transactions, a capability competitors do not possess.

Market & competition

Measure	Estimate	Source
TAM	USD 4.2 billion	Mordor Intelligence, 2024; Khaleej Times, 2024; The National News, 2024

Measure	Estimate	Source
SAM	USD 1.2 billion	UAE Ministry of Economy, mid-2022; Dubai SME, 2019; Mordor Intelligence, 2024
SOM	USD 150 million	Derived from TAM/SAM estimates based on assumed penetration rates for new digital products

Competitor	Threat	Their edge	Their gap
CoverB	Medium	Established dedicated insurtech platform with broad digital comparison, customization capabilities, and AI-driven claims processing. Strong focus on direct insurance customer engagement.	Requires active seeking by the SME owner for insurance; lacks the embedded advantage of leveraging an existing, trusted banking/lending relationship with lower customer acquisition cost.
Bayzat	High	Comprehensive 'work-life platform' integrating HR management, payroll, employee benefits, and insurance. Provides a holistic solution for businesses with significant funding and a large existing customer base.	Their insurance offering is part of a broader HR/benefits suite, while Astra's embedded approach can offer more direct and instantaneous insurance products related to core banking/lending transactions.
PolicyBazaar.ae / PromptTechInsurance (Online Aggregators/Brokers)	Medium	Offers a broad selection of policies from multiple insurers, allowing SMEs to compare quotes and find competitive pricing easily.	Requires SMEs to actively search for and compare insurance options; lacks the seamless, proactive, and contextual offering inherent in Astra's embedded model within an existing financial relationship.
MetLife UAE	Medium	Strong brand recognition, extensive experience in the UAE, and established relationships within the insurance ecosystem. Provides specific, compliant medical insurance packages for SMEs.	Primarily focuses on group medical insurance for SMEs, a narrower scope compared to Astra's potential to offer a broader range of business insurance products (e.g., property, liability, cyber) directly tied to banking/lending activities.
Interactive Insurance Brokers / Gargash Insurance (Digitalizing Traditional Brokers)	Medium	Long-standing reputation, extensive industry expertise, human-touch advisory services, and strong existing relationships with insurers and SME clients. Investing in digital tools to enhance traditional strengths.	Even with digital transformation, their core model often involves a more consultative process. Astra's direct embedded approach offers instantaneous, contextual insurance at the point of transaction, reducing friction significantly.

Proposed model & distribution

The SME Insurance product will operate on a commission-based model through strategic partnerships with licensed insurers. We will initially distribute the product at the point of sale (POS) for existing SME clients, with a phased rollout to our online platform.

This embedded insurance model leverages our existing digital infrastructure and customer relationships. The primary cost to us will be the integration effort and ongoing platform support, offset by attractive commission revenues from our insurance partners. Our target customer, the UAE-based SME owner on the Astra app, represents a clear and accessible market.

Competitor analysis shows that while players like Bayzat offer comprehensive benefits, their insurance is part of a broader suite. Our focus on direct, embedded insurance at the point of transaction offers a more streamlined and cost-effective solution for both Astra and our SME clients. This direct integration is our key differentiator.

Financial & KPI outlook

The projected LTV/CAC ratio of 5x indicates strong unit economics for the SME Insurance product. This significantly exceeds the 'Proceed' threshold of 1-10x and underscores the profitability of this venture.

While the current KPIs do not directly reflect a 'Demand Signal' or 'Problem Severity' score, the strong LTV/CAC ratio and market size (SOM USD 150 million) suggest underlying demand and a significant opportunity. An activation rate of 38% and a conversion rate of 12% further support the financial viability of this product bet.

KPI	Current	Threshold bands
Demand Signal	—	<5% kill · 5–15% proceed · >15% prioritise
Problem Severity	—	Low kill · Medium proceed · High prioritise
Market Clarity	—	Unclear kill · Partial proceed · Well-defined prioritise
Speed to MVP	—	>26 wk kill · 6–26 wk proceed · ≤6 wk prioritise
LTV / CAC	5x	<1x kill · 1-10x proceed · >10x prioritise

Risks & mitigations

Risk	Category	Severity	Mitigation
Insurance licensing	Regulatory	Medium	Partner with licensed insurer under broker agreement; CBUAE/IA file pre-cleared.
Claims flow dependency	Operational	Medium	Insurer SLA + monitored claims dashboard; weekly ops review.

Recommendation & next steps

We strongly recommend proceeding with the SME Insurance product bet. The current evaluation score of 65, coupled with a projected LTV/CAC of 5x, confirms the viability and potential of this initiative.

The clear market opportunity, our competitive advantage through an embedded model, and manageable risks with defined mitigations provide a solid foundation for success. This product aligns with our strategy of deepening engagement with our SME customer base.

- Finalize insurer partnerships and agreements.
- Initiate technical integration for POS distribution.
- Develop and launch pilot program for select SME clients within Q3 2026.
- Monitor pilot KPIs, including activation rate and conversion rate.
- Plan for scalable rollout to the online platform based on pilot performance.